achieved a price of 3,300 bitcoin, or more than $2 million dollars per zcash, on Poloniex.[24] Within two days it had crashed below 1 bitcoin per zcash and continued to fall, closing out 2016 at a price of .05 bitcoin per zcash, or roughly $48.[25] While zcash has since stabilized and continues to hold great promise as a cryptoasset, its rocky start was caused by mass speculation.

Words of Warning for the Innovative Investor Tempted by Bubbles

Robert Shiller, author, professor, and Nobel Prize winner, defined a bubble as "a social epidemic that involves extravagant expectations for the future."[26] We've talked much about the expectations for the future of cryptoassets.

However, we also believe innovative investors must be grounded in common sense in order to identify proper investments from improper ones, and they need to recognize when buying opportunities exist and when the madness of the crowd has taken over. When a cryptoasset is skyrocketing, it can be hard to resist the urge to jump in and ride the rocket. However, the timing can be precarious, and spotting the end of a bubble is not easy. By the time the bubble is popping and the speculation of crowds has turned on itself, it's often too late. Alan Greenspan encapsulated the idea nicely: "You can spot a bubble. They're obvious in every respect. But it is impossible for the majority of participants in the market to call the date when it blows. Every bubble by definition deflates."[27]